Applied Digital

APLD | NASDAQ | 2026-10-07

Q4 2027 model ceiling: USD 1.83

Analytical Base 44/60 = 73 | Watch / power-ready landlord with material funding claims

20x forward-four-quarter operating profit, with project debt, retained project cash, dated preferred cohorts and a separate bounded unfinished-construction recovery. Each operating state and recovery case is valued before probability weighting. Common shares and financing claims are matched to the end of the same four-quarter window.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

Snapshot: USD 25.34 on 2026-10-06 close. Model diluted shares at Q3 2026: 341.350m. Indicative diluted capitalization: USD 8,649.8m. Quote and share dates/bases may differ; legal shares are reconciled in the analysis.

All operating values are in USD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	925.8	20x	367.267	1.83

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Thesis

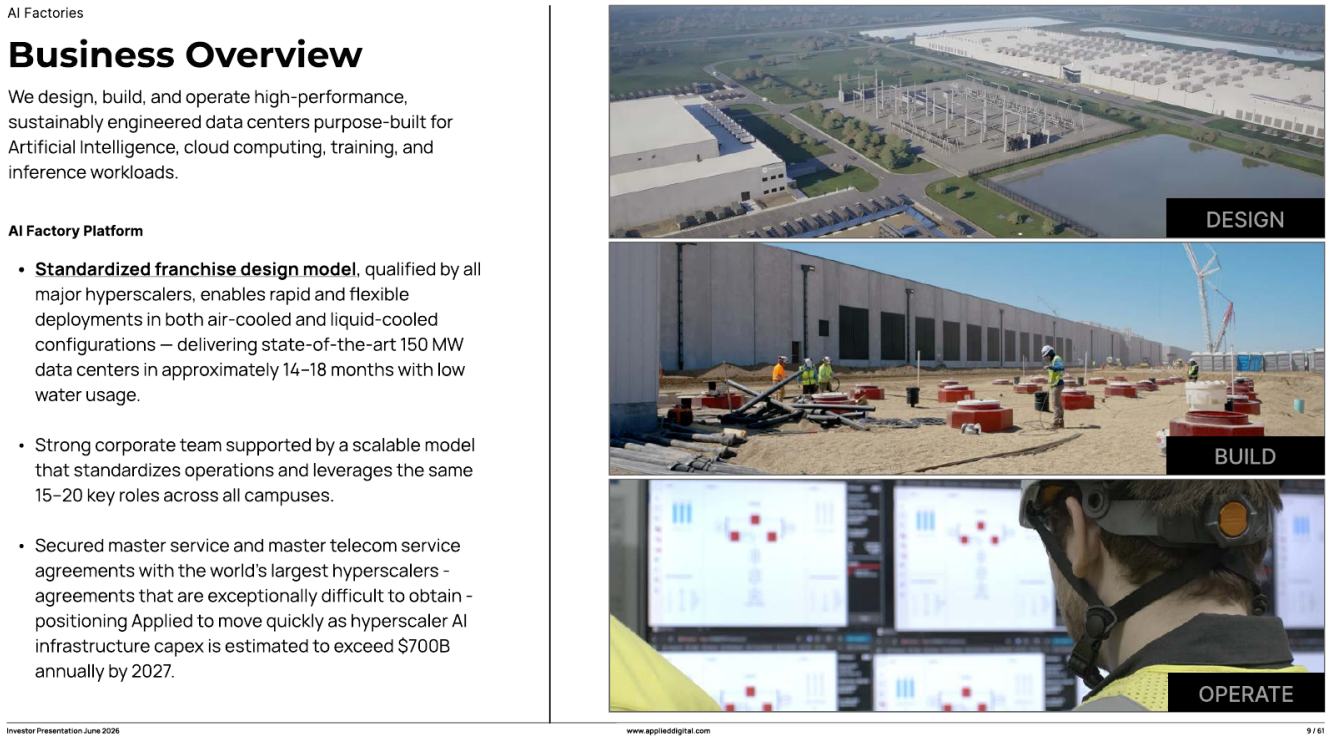
Applied Digital is building an increasingly substantial portfolio of AI data-center leases. The important proof is the October 2 delivery: another 75 MW brought Polaris Forge 1 to 250 MW operational. That is a physical commissioning milestone with rental consequences. The remaining investment question is how much of the resulting property profit survives depreciation, construction borrowing, preferred capital and common-share dilution. A fifteen-year contracted revenue headline cannot answer that question.

The model gives forward evidence an active role. Domestic expansion negotiations receive a 75% probability of execution, while a separately bounded Finland deployment receives 25%. A 25% delayed-commissioning state carries slower rent and higher construction costs. Each state carries its own capacity, operating profit and funding requirement. Common-share value is calculated within each state before probability weighting because the preferred waterfall and equity floor are nonlinear.

What the company sells

The core product is a powered, cooled and connected building suited to dense AI hardware. Applied Digital normally earns the landlord's rent and specified reimbursements. The tenant's accelerator purchases, inference revenue and GPU rental rate are separate revenue pools. This distinction matters when comparing the company with Nebius or CoreWeave: demand for their compute can support demand for Applied Digital's facilities, but it does not make every dollar of GPU rental revenue a landlord dollar.

The portfolio also includes legacy hosting and a majority economic interest in ChronoScale cloud services. These are separate operating lines in the model. The cloud activity is not silently valued at a second AI multiple. Corporate costs and stock compensation remain expenses. Minor strategic investments are assigned no extra asset value while their cash monetization is uncertain.



The issuer describes its AI-factory landlord business. GPU rental prices are not its direct rate card.

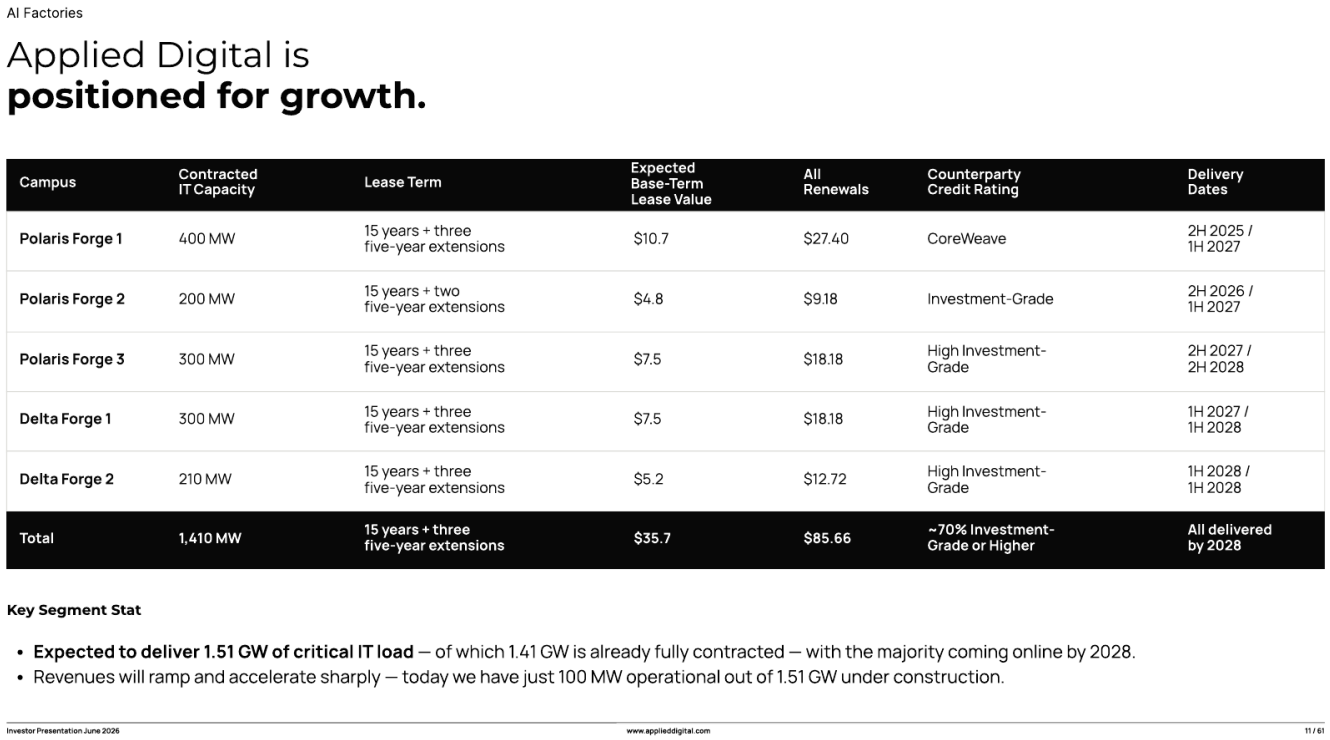
Lease evidence and the recognition calendar

At the fiscal 2026 filing, the disclosed HPC portfolio was approximately 1,410 MW and $36.2 billion of expected contracted revenue over long lease terms. Polaris Forge 1 accounts for 400 MW, Polaris Forge 2 for 200 MW, Delta Forge 1 for 300 MW, Polaris Forge 3 for 300 MW and Delta Forge 2 for 210 MW. These totals include facilities at different construction stages. Their full rent is not recognized on the contract-signing date.

The October 2 release confirms 250 MW operational at Polaris Forge 1. It supersedes older presentation snapshots. The reference schedule phases the remaining campus deliveries across 2027 and 2028, with partial-quarter rent represented by average revenue-producing MW. The filed minimum-payment schedule is used as a calendar check, not as a substitute for a building-by-building commissioning model. A May fiscal year does not align with the calendar quarters used in the portfolio.

The rent model uses the filed rounded contractual totals: approximately $11 billion over 15 years for PF1's 400 MW, $5 billion for PF2's 200 MW, $7.5 billion each for the 300 MW DF1 and PF3 campuses, and $5.2 billion for DF2's 210 MW. Dividing these totals by term and capacity produces gross annual straight-line proxies of $1.833 million, $1.667 million, $1.667 million, $1.667 million and $1.651 million per MW, respectively. These are modeled allocations of rounded disclosed totals; actual buildings can carry different rates, concessions and acceptance dates.

The filing recognizes minimum rental payments on a straight-line basis. Consequently, the model does not add a second annual escalator to these already averaged lifetime rents. It also distinguishes recognized revenue from cash receipts: the reference cash-rent schedule is calibrated to Note 17's fiscal-year minimum payments, including $451.065 million for FY2027 and $1.454 billion for FY2028. The implied cash-to-gross-book factors are approximately 76% and 94%. This difference consumes working capital and affects financing even when reported operating profit is unchanged. Lease-incentive amortization is separately approximated from the filed $205.622 million asset balance, reducing accounting rent without treating it as another cash payment.



AI Factories

Applied Digital is
positioned for growth.

Campus	Contracted IT Capacity	Lease Term	Expected Base-Term Lease Value	All Renewals	Counterparty Credit Rating	Delivery Dates
Polaris Forge 1	400 MW	15 years + three five-year extensions	$10.7	$27.40	CoreWeave	2H 2025 / 1H 2027
Polaris Forge 2	200 MW	15 years + two five-year extensions	$4.8	$9.18	Investment-Grade	2H 2026 / 1H 2027
Polaris Forge 3	300 MW	15 years + three five-year extensions	$7.5	$18.18	High Investment-Grade	2H 2027 / 2H 2028
Delta Forge 1	300 MW	15 years + three five-year extensions	$7.5	$18.18	High Investment-Grade	1H 2027 / 1H 2028
Delta Forge 2	210 MW	15 years + three five-year extensions	$5.2	$12.72	High Investment-Grade	1H 2028 / 1H 2028
Total	**1,410 MW**	**15 years + three five-year extensions**	**$35.7**	**$85.66**	**~70% Investment-Grade or Higher**	**All delivered by 2028**

Key Segment Stat

- **Expected to deliver 1.51 GW of critical IT load** — of which 1.41 GW is already fully contracted — with the majority coming online by 2028.
- Revenues will ramp and accelerate sharply — today we have just 100 MW operational out of 1.51 GW under construction.

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June portfolio illustration. The July filing and October commissioning update supersede earlier totals and delivery progress.

Why the headline revenue and margin need adjustment

Fiscal Q4 reported HPC revenue of roughly $203 million, but $152.4 million came from tenant fit-out, compared with $44.1 million base rent and $6.5 million recoveries. Fit-out is economically different from recurring rent. For the full year, fit-out revenue was $270.6 million against $258.1 million of associated costs, only about a 4.6% gross margin. The model therefore pairs new deliveries with a bounded fit-out allowance and its observed low margin; it does not capitalize that revenue as if it were permanent, high-margin rental income.

The same discipline applies to electricity and other reimbursements. The operating model assigns them no incremental gross profit. Reported property NOI is useful for understanding site economics but precedes depreciation and major financial claims. Fiscal 2026 HPC NOI of approximately $90.4 million on $99.8 million of base rent does not establish a 91% operating margin available to common shareholders.

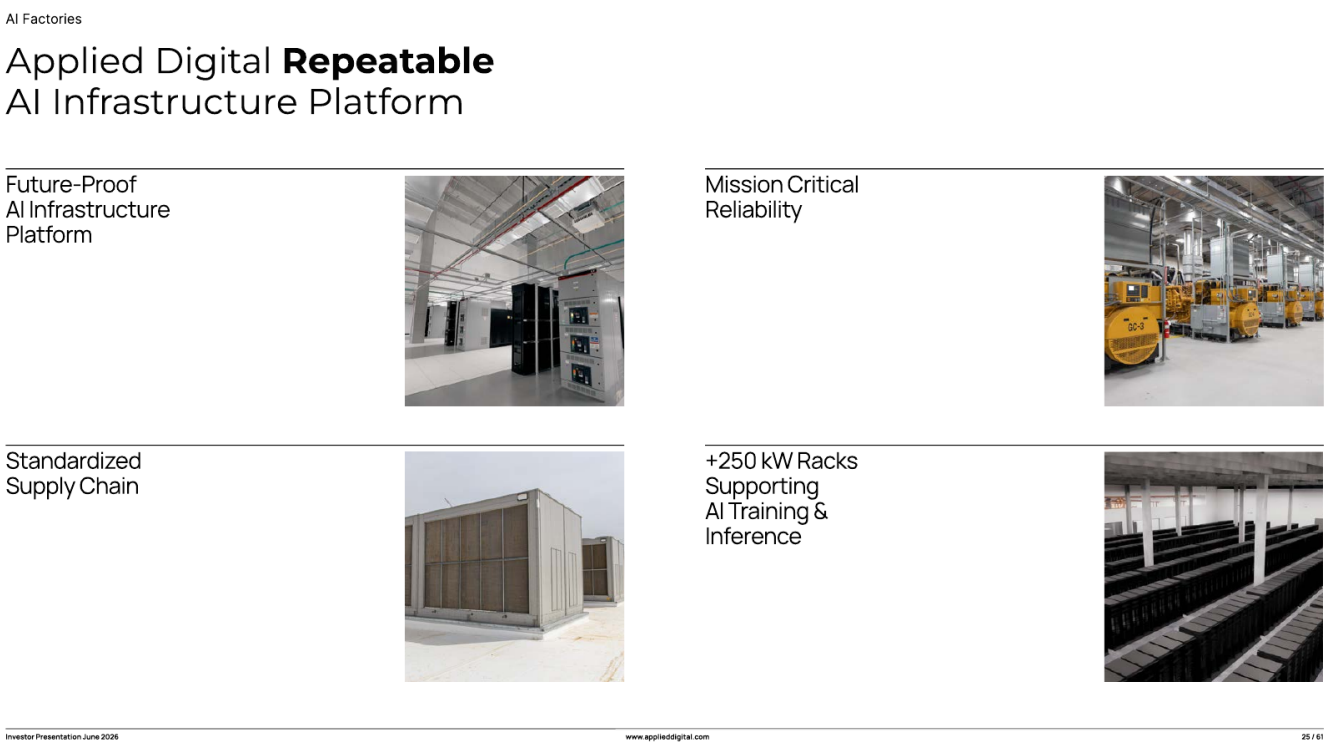
Construction assets wear out at different rates. The reference model allocates capital cost across buildings, improvements and electrical/mechanical equipment, with depreciation lives of 39, 20 and 17 years respectively. That is a transparent modeling allocation, not an issuer-disclosed component valuation for every campus. It produces recurring depreciation before capitalizing operating profit. A shift toward shorter-lived cooling or power equipment would increase this expense even with unchanged contracted rent.

The scarce product is a delivered facility

The useful scarcity signal is the time required to deliver power, cooling, fiber connectivity and commissioned space together. Land and a potential interconnection do not provide usable compute capacity. Transformers, switchgear, backup generation, liquid-cooling systems and specialized construction labor can each delay acceptance. The cost to an AI customer of idle accelerators creates willingness to pay for reliable earlier delivery, but that willingness must translate into a new or repriced lease before it improves the landlord's economics.

The July earnings discussion described advanced negotiations for approximately 250 MW of additional domestic capacity, including expansion with an existing customer, at higher economics. The active model assigns 75% total probability to a bounded 250 MW increment beginning with partial delivery in late 2027 and ramping through 2028. Its assumed annual straight-line gross rent of $1.76 million per MW is about 5.6% above the filed PF2 proxy, although it is below the PF1 proxy. The statement therefore supports potential improvement in the relevant new contract cohort, not a uniform 13% portfolio repricing. Construction cost rises to $11.7 million per MW. Existing fixed contracts receive no retroactive premium.

A data center built to meet a demanding tenant's requirements can have durable operating value. Qualification, integration and operating reliability create customer switching costs. However, the building remains capital intensive, and the tenant can negotiate against alternative campuses, internal construction and competing developers. Applied Digital competes with established operators, hyperscalers and newer entrants including IREN, Cipher, TeraWulf and other power-rich developers. A longer queue can improve new-order economics while also making the supplier's own delivery harder.



Standardized physical design can reduce construction friction; grid and commissioning risks remain.

Finland is an option with a calendar

The October 6 announcement secures up to 1 GW of potential power in Finland, with timing from 2028. The announcement is not a completed leased campus. It still requires tenant contracts, permitting, connection, construction and financing. Assigning zero solely because a lease is not yet announced would ignore useful forward evidence; counting all 1 GW immediately would ignore the steps between evidence and earnings.

The active model assigns 25% probability to an initial 300 MW deployment phased from late 2028 through 2030. Its annual rent proxy is $1.72 million per MW and construction cost is $12.5 million per MW, with additional development expense. These are bounded assumptions pending local lease and construction terms. The same state also contains the domestic expansion, preventing Finland from becoming an unrelated extra demand shock. No remaining 700 MW is counted in the forecast.

The adverse state delays not-yet-delivered domestic capacity by two quarters and increases capital cost by 10%. The already confirmed 250 MW is not reversed. Extra costs include carrying and start-up expense, while rent waits for service availability. This state captures correlated construction, equipment and acceptance problems together instead of independently summing several delays to the same facility.

Project capital comes before common equity

The Macquarie structure supplies substantial preferred project capital but is not free funding. The company's illustration uses approximately $2.25 million of preferred funding and $0.75 million of Applied Digital capital per MW, with the balance financed by project debt. Total development cost is a range, roughly $10-13 million or more per MW. At the reference $11.5 million cost, the model solves the debt amount after both equity contributions; it does not add 80% debt on top of fixed preferred and common amounts if that would overfund the project.

Macquarie

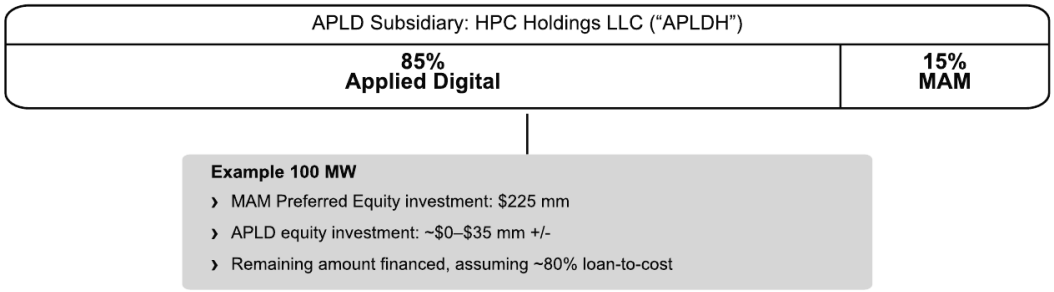
Transaction Overview

Macquarie Asset Management (MAM) Transaction For Investment Grade Hyperscalers:

Ownership Structure: MAM will have the right to invest in future hyperscaler projects. At closing, Macquarie will receive a 15% common equity interest in APLD HPC Holdings, a subsidiary of APLD, which will hold the data centers MAM helps finance.

Projects financed outside of MAM's investments will be owned and held separately by APLD.

APLDH Ownership Structure



Example 100 MW

- MAM Preferred Equity investment: $225 mm
- APLD equity investment: ~$0–$35 mm +/-
- Remaining amount financed, assuming ~80% loan-to-cost

Illustrative Macquarie common ownership. Exact legal rights govern the project equity waterfall.

The actual preferred funding comprises $112.5 million on October 6, 2025, $450 million on November 25, $337.5 million on December 9 and $925 million on May 29, 2026: $1.825 billion in total. The model ages each tranche from its funding date and creates dated cohorts for subsequent assumed draws. It does not age all future capital as though invested at the initial closing. The preferred return initially accrues at 12.75% annually with semiannual compounding; the October 7, 2030 step-up is included. Current Macquarie common ownership is 13.5%, leaving 86.5% to APLD. The illustrative future-funding assumption uses 85% after additional preferred capital is drawn.

The investor's 1.8-times minimum return includes its attached common interest. The model compares the ordinary ownership share of value after the accrued preference with value after the minimum-return claim and retains the smaller common residual. It does not deduct 1.8 times capital and then take a second unconditional 15% haircut. Early redemption, an IPO or a sale in highly liquid securities can trigger different contractual economics, including a 2.0-times minimum. The adopted calculation is a going-concern claims reserve, not a legal redemption certificate.

The June deck is retained to show the original structure. The later filed agreement controls where amended redemption dates, premiums or step-ups differ. A redemption or financing transaction can change the precise payable amount; the model is a going-concern valuation reserve, not a legal payoff certificate. The final appendix states the actual adopted claim schedule, so later contractual evidence can revise it without rewriting the operating business.

Macquarie

Transaction Overview

Example Of The Macquarie Transaction Capitalization Table:

Macquarie expect to invest: **$2.25 million for every 1 MW** - Perpetual Preferred Equity -for Ellendale Campus & Future Campuses

Applied Digital expect to invest: **~$0.75 million for every 1 MW** - Future Campuses

**This model is based on an 80% Loan to Cost (LTC)

Line Item	$MM	$/MW	% of Capitalization	Common Equity Economic Interest
100 MW Development Cost	~$1,000 - ~$1,300+	~$10-~$13+	100.0%	-
Project Debt Financing	~$775 - $1,040		~80%	-
Macquarie Preferred Equity (12.75% PIK Interest)	$225		~17.3% - ~22.5%	-
APLD Common Equity	~$0 - ~$35+		~0% - ~2.7%+	85.0%
MAM Common Equity	-		-	15.0%
Total Capitalization of Cost	**$1,000 - $1,300**		**100.0%**	**100.0%**

Issuer funding illustration: $2.25M per MW preferred and $0.75M per MW APLD capital. The cost range is not a fixed cap.

Macquarie

Transaction Overview

Summary Of The Macquarie Transaction Capitalization Table:

Issuer	▪ APLD HPC TopCo 2 LLC ("APLDT"), an indirect wholly-owned subsidiary of Applied Digital
Initial Funding / Closing	▪ At least $225 million funded at Closing ▪ Availability of up to $2.25 million per 1MW capacity under lease
Facility	▪ Preferred Equity and attached Common Equity ▪ Represents 15% of common equity in APLDT
Maturity	▪ Perpetual
Dividend	▪ 12.75% payable semi-annually in kind (PIK) or cash during years 0–5 ▪ One-time increase of +0.875% for year 6, payable in PIK or cash ▪ One-time additional increase +0.875% for years 7–10 ▪ Increases +2% per year beginning in year 11, subject to 16.75% cap, payable semi-annually in cash ▪ Rate step-up upon asset financing for amount above 8.75%
Liquidation Preference	▪ For Preferred Equity and attached Common Equity, the greater of accreted amounts plus FMV common equity ▪ or 1.8x MOIC on Preferred Equity Investment
Redemption / Exit Provision	▪ APLDT may redeem all Preferred Equity and attached Common Equity after the 5th anniversary ▪ MAM has right to force redemption in connection with sale of APLDT or after year 7 if Preferred Equity remains outstanding
Other Terms	▪ MAM has a right to invest up to an additional $5 billion across Applied Digital's future HPC data center pipeline ▪ Draw period of 30 months for additional hyperscaler leases executed prior to the 15-month anniversary of Closing ▪ Applied Digital to recover over an estimated $300 million of equity invested in Ellendale HPC Campus once RFS reached ▪ APLDT managed by board controlled by Applied Digital designees, subject to MAM governance and step-in right

Preferred capital carries accruing dividends and redemption conditions. These are part of the economic cost of growth.

Liquidity and dilution

The opening cash bridge begins with $4.153 billion of total May cash and restricted cash, including noncurrent restrictions. The TopCo presentation identifies $3.706 billion within the project structure. The June $1.59 billion note replaces the $300 million bridge, increasing project cash and gross debt by the net $1.29 billion before unquantified fees. Project note principal consequently starts at $6.09 billion. The model also incorporates the June $150 million Series G proceeds, the $58.5 million Texas loan and the $13.3 million SAFE payoff against its $12 million debt principal. This is a roll-forward of known transactions, not a filed June balance. It includes a provisional $50 million June operating-cash burn reserve - $30 million in the project and $20 million at holding level - plus $20 million of refinancing fees. Operating burn is bounded at $25-100 million and fees at $0-40 million until the next filing. These are explicit estimates, informed by existing note coupons and operating costs, rather than hidden assumptions of clean cash. Separate $0, $70 million and $140 million total-reserve sensitivities show their impact.

The funding model keeps project cash and holding cash separate. It starts with filed project property/prepaids and supplier accruals, then spends toward construction two quarters ahead of modeled rent. Property cash receipts, operating costs, interest and construction payments determine the cumulative shortfall. Available holding cash can support the project only above a $200 million reserve; new common capital then fills remaining project and holding cash gaps. A $150 million project reserve is also retained. No negative cash balance is treated as available funding, and restricted project cash is credited only inside the preferred waterfall.

The share inventory starts with 287.884 million common shares outstanding at May 31. It adds 22.388 million unvested employee rights, all 28.091 million filed warrants, and the 1.788 million shares issued in the disclosed June Series G conversions. The remaining $73.154 million Series G stated claim remains a preferred claim; there is no invented second cash inflow when it converts. Gross warrant rights are counted conservatively without crediting exercise proceeds because exercise timing and cash versus cashless settlement are uncertain. This includes the CoreWeave warrants; they cannot disappear merely because the securities were assigned to financial institutions.

The $450 million convertible receives a separate test within each valuation case. Below its approximately $9.76 conversion threshold it remains debt. Above that threshold it becomes 46.1 million shares and the principal claim is removed. Thus neither automatic out-of-the-money conversion nor a double charge of principal and conversion shares is assumed. Future new funding uses an explicit $20 issue-price assumption and 3% fees. This requires continuing capital-market access; a finite 600 million authorization ceiling is a legal constraint, not a promise that investors will fund construction.

Stock compensation also has to match the share bridge. The filing reports $144 million of remaining RSU expense over 2.6 years and $135.1 million of PSU expense over 2.5 years, plus a small restricted-stock pool. A finite straight-line approximation gives $27.387 million in the first forecast quarter before future grants. The already-recognized FY2026 catch-ups and fully vested $47.9 million ChronoScale management grant are not repeated. Assumed future grants of 1.2 million shares per quarter at a $20 grant value vest over three years, so their expense increases by $2 million per quarter to a $24 million quarterly steady state. The gross new rights enter dilution when granted.

ChronoScale's reported fiscal Q4 operating loss was $12.118 million on $18.396 million of revenue. That loss remains the reference quarterly operating result; an unsupported near-term profitability recovery has been removed. The internal 18% gross-margin allocation simply determines the offsetting operating-cost line and is not an issuer-reported margin. Applying the 96% economic proxy once avoids treating the entire consolidated subsidiary as wholly attributable while also adding its market value separately.

Cash taxes use a bounded reserve: a 25% normal-rate proxy and a 50% probability that the reported $440.7 million indefinite loss pool is usable against up to 80% of positive pretax income, with no usable shelter in the

other case. This allowance affects cash funding, not operating profit a second time. The source's valuation allowances and ownership limitations prevent treating its entire aggregate loss headline as unrestricted tax shelter.

The cash uncertainties are bounded. Using no additional June reserve produces a Q4 2027 ceiling of $1.85; the adopted $70 million combined reserve produces $1.83, and a $140 million reserve produces $1.81. The same scenarios give approximately $21.25, $21.08 and $20.91 for Q1 2030. Zero cash tax versus 25% tax without usable loss shelter changes Q4 2027 from about $1.83 to $1.83 after rounding, but Q1 2030 from $21.57 to $20.95. These are sensitivity calculations, not alternate issuer guidance.

At the $20 funding-price assumption, maximum potential shares including conversion remain approximately 454 million. A $5 issue price approaches 594 million; a $2.50 issue price breaches the 600 million authorization, so the model stops and requires curtailed construction or a separately approved capital solution. It does not silently create unlimited new shares.

Valuation, score and disconfirmation

The initiation uses 20 times forward-four-quarter operating profit. It separately applies project debt, retained project cash, preferred claims and ownership to the same HPC operating assets. Corporate, legacy and ChronoScale operating results then enter common value with holding financial claims. Common shares and funding claims are matched to the end of the same four-quarter window. Each state is valued before probability weighting, including any conversion decision and the common-equity floor. This is not an NOI multiple or a net-income P/E.

Construction outside the earning asset pool receives a separate treatment. Two-quarter prefunding creates unfinished assets whose debt is already in the claims reserve. The model credits only capitalized construction cost above the cost assigned to revenue-producing capacity at the window end. This asset earns no additional modeled operating profit or depreciation while unfinished. An 80% conditional recovery case retains the cost in full; a 20% case recovers half. Both cases pass through the preferred and conversion waterfalls before weighting. A zero-recovery and full-recovery sensitivity is shown as well. These are bounded analytical recovery assumptions, not cash, an appraisal or a second capitalization of future rent.

The resulting Q4 2027 common ceiling is approximately $1.83. It is nil with no unfinished-construction recovery and approximately $2.09 with full recovery. The low result comes from funding and claims absorbing much of the near-term earning value. It is not a statement that traded shares have no option value, strategic value or possibility of better refinancing. Those possible outcomes require their own evidence and economic bridge; they are not inserted to match the market price.

The analytical Base is 73: Core 16, Cycle 8, TAM 8, Catalysts 5, Macro 9 and Alpha 3, less 5 for distinct risk classes, yielding 44 out of 60 before normalization. Delivered capacity and signed demand support the operating case. Core 16 reflects common owners' limited control over the conversion of project earnings into usable cash. The score assesses the business and evidence, separately from whether this valuation convention supports the share price. Coverage does not establish a holding or change an existing portfolio override.

The next decisive evidence is realized base rent on the 250 MW already operating, actual construction spending per delivered MW, new domestic lease economics, project-debt terms and the common funding needed for the next campus. Finland needs an identified tenant and connection/construction milestones. A rent miss combined with cost escalation would invalidate the attractive spread between contract revenue and invested capital; further deliveries without disproportionate new common claims would strengthen it.

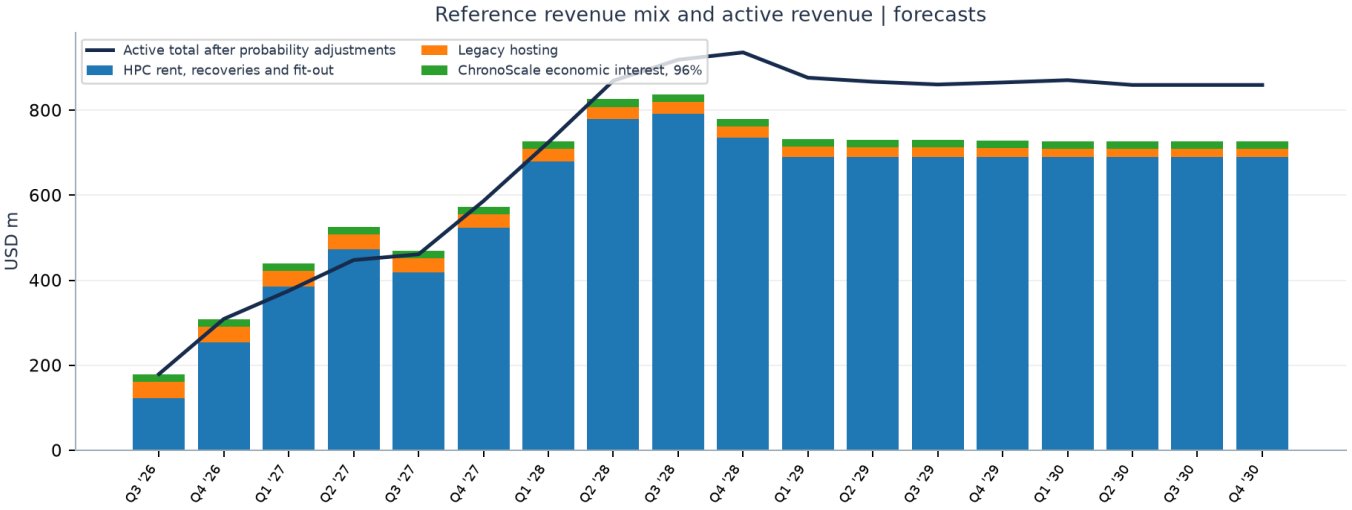
Fiscal Q1 2027 results are scheduled for October 7 after the close. This research uses the latest available filed year-end accounts and the October 2 and October 6 releases. It does not treat the scheduled results as already

reported. The issuer release list was checked at 07:24 UTC on October 7 (03:24 Toronto). It still showed the October 6 Finland announcement as the newest release; the scheduled quarterly results were not yet published.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	16	Delivered capacity and signed leases establish the operating product, while capital intensity and limited common-equity control over project cash constrain durable owner economics.
Cycle	8	Delivered capacity and new contracted rent support a strong investment cycle.
TAM	8	The contracted 1,410 MW portfolio provides a tangible expansion base.
Catalysts	5	Commissioning, cash rent and new lease agreements are directly measurable.
Macro	9	Compute infrastructure demand supports development, subject to funding and power access.
Alpha	3	Funding and ownership economics require detailed independent reconciliation.
Risk classes	-5	Five distinct classes: tenant concentration, financing, construction execution, regulation and ownership governance.
Total	44/60	Rounded Base 73. Both artifact and new workbook row use this score; this is not a manual override.

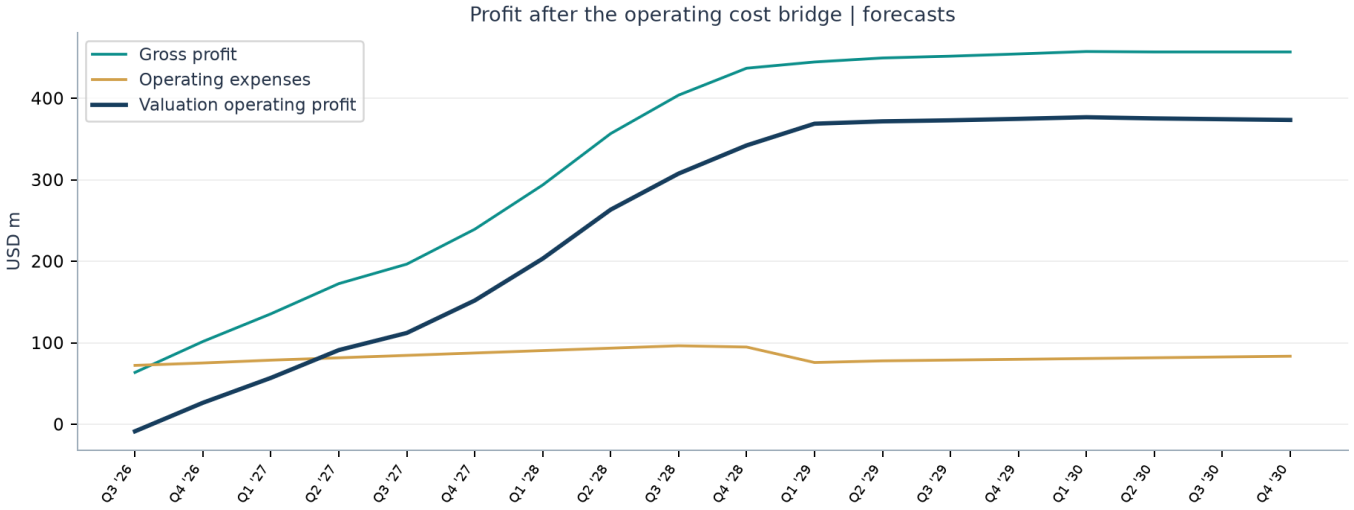
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	179.2	0.0	179.2
Q4 2026	309.0	0.0	309.0
Q1 2027	439.4	-64.0	375.3
Q2 2027	524.7	-77.1	447.6
Q3 2027	469.2	-8.2	461.0
Q4 2027	572.7	13.7	586.4
Q1 2028	727.4	-3.0	724.4
Q2 2028	825.9	43.6	869.4
Q3 2028	837.4	81.5	918.8
Q4 2028	779.0	157.1	936.0
Q1 2029	732.6	144.0	876.6
Q2 2029	731.2	135.9	867.1
Q3 2029	729.8	130.9	860.6
Q4 2029	728.4	137.0	865.4
Q1 2030	727.6	143.2	870.8
Q2 2030	727.6	132.0	859.5
Q3 2030	727.6	132.0	859.5
Q4 2030	727.6	132.0	859.5

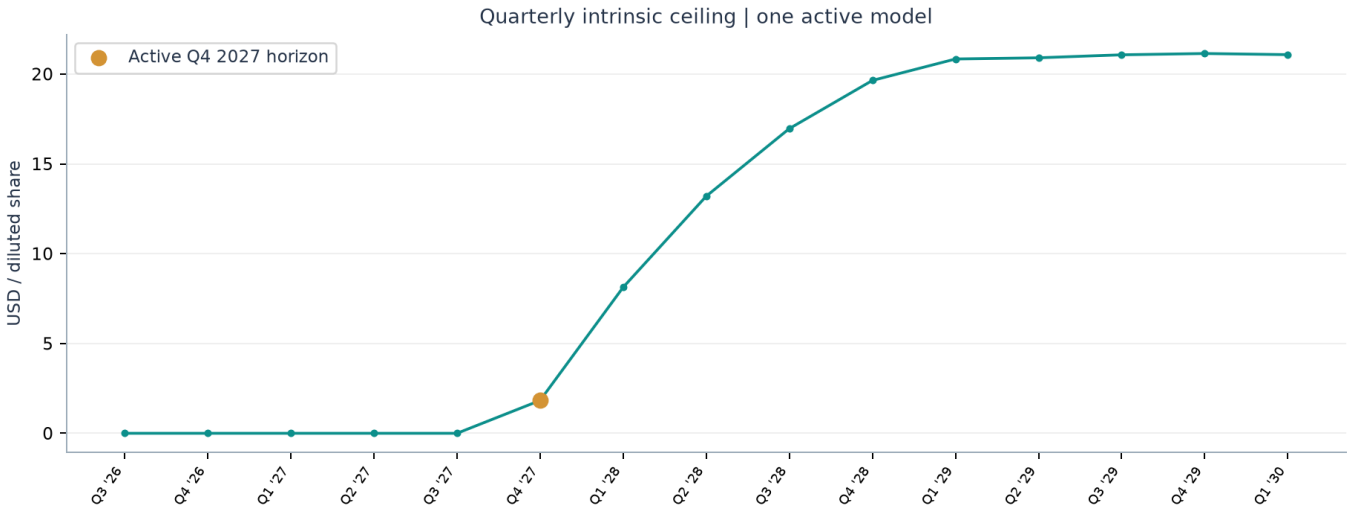
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	179.2	63.5	72.2	-8.7	-4.8%
Q4 2026	309.0	101.5	75.1	26.3	8.5%
Q1 2027	375.3	135.5	78.6	56.9	15.1%
Q2 2027	447.6	172.5	81.5	91.0	20.3%
Q3 2027	461.0	196.5	84.5	112.0	24.3%
Q4 2027	586.4	239.2	87.4	151.8	25.9%
Q1 2028	724.4	293.5	90.4	203.2	28.0%
Q2 2028	869.4	356.6	93.3	263.3	30.3%
Q3 2028	918.8	403.8	96.3	307.5	33.5%
Q4 2028	936.0	436.8	94.7	342.1	36.5%
Q1 2029	876.6	444.5	75.7	368.7	42.1%
Q2 2029	867.1	449.4	77.8	371.6	42.9%
Q3 2029	860.6	451.6	78.7	372.9	43.3%
Q4 2029	865.4	454.3	79.7	374.7	43.3%
Q1 2030	870.8	457.3	80.6	376.7	43.3%
Q2 2030	859.5	456.8	81.6	375.2	43.7%
Q3 2030	859.5	456.8	82.5	374.3	43.5%
Q4 2030	859.5	456.8	83.5	373.3	43.4%

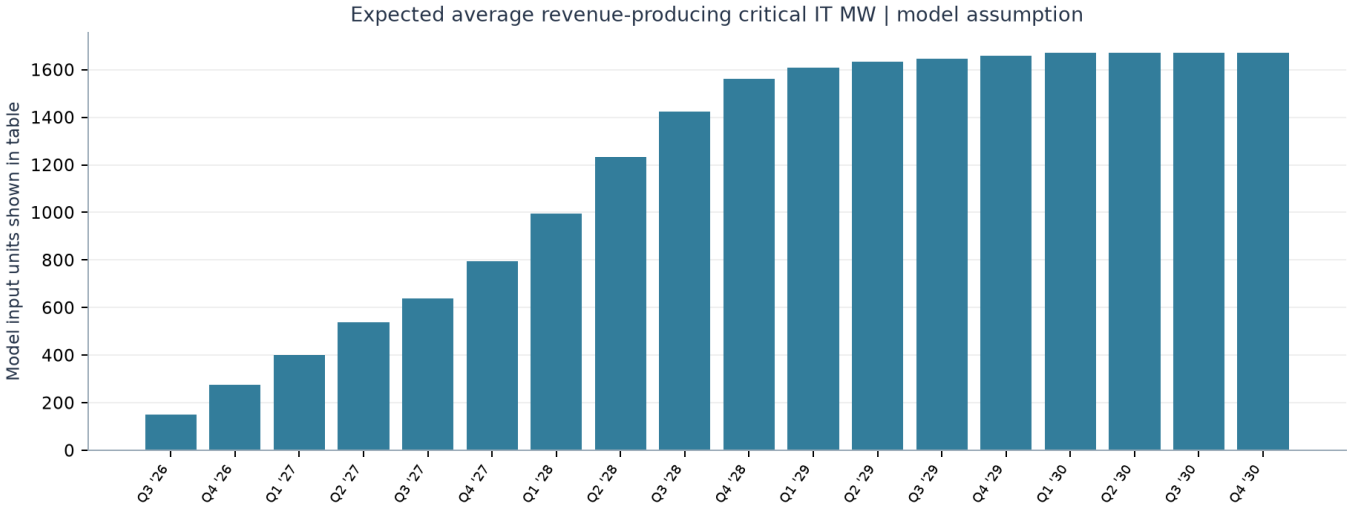
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Exact earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 + Q4 2026 + Q1 2027 + Q2 2027	165.5	20x	344.950	0.00
Q4 2026	Q4 2026 + Q1 2027 + Q2 2027 + Q3 2027	286.2	20x	346.641	0.00
Q1 2027	Q1 2027 + Q2 2027 + Q3 2027 + Q4 2027	411.7	20x	354.508	0.00
Q2 2027	Q2 2027 + Q3 2027 + Q4 2027 + Q1 2028	558.0	20x	359.030	0.00
Q3 2027	Q3 2027 + Q4 2027 + Q1 2028 + Q2 2028	730.2	20x	363.683	0.00
Q4 2027	Q4 2027 + Q1 2028 + Q2 2028 + Q3 2028	925.8	20x	367.267	1.83
Q1 2028	Q1 2028 + Q2 2028 + Q3 2028 + Q4 2028	1,116.1	20x	371.069	8.13
Q2 2028	Q2 2028 + Q3 2028 + Q4 2028 + Q1 2029	1,281.6	20x	375.105	13.20
Q3 2028	Q3 2028 + Q4 2028 + Q1 2029 + Q2 2029	1,390.0	20x	379.211	16.96
Q4 2028	Q4 2028 + Q1 2029 + Q2 2029 + Q3 2029	1,455.4	20x	383.373	19.64
Q1 2029	Q1 2029 + Q2 2029 + Q3 2029 + Q4 2029	1,487.9	20x	387.981	20.84
Q2 2029	Q2 2029 + Q3 2029 + Q4 2029 + Q1 2030	1,495.9	20x	392.742	20.90
Q3 2029	Q3 2029 + Q4 2029 + Q1 2030 + Q2 2030	1,499.5	20x	397.521	21.07
Q4 2029	Q4 2029 + Q1 2030 + Q2 2030 + Q3 2030	1,500.9	20x	402.326	21.14
Q1 2030	Q1 2030 + Q2 2030 + Q3 2030 + Q4 2030	1,499.5	20x	407.155	21.08

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Expected average revenue-producing critical IT MW	Status
Q3 2026	150.000	ASTRA calendar-quarter forecast; FY2027 Q1 not yet reported
Q4 2026	275.000	ASTRA calendar-quarter forecast; FY2027 Q1 not yet reported
Q1 2027	400.000	ASTRA calendar-quarter forecast; FY2027 Q1 not yet reported
Q2 2027	537.500	ASTRA calendar-quarter forecast; FY2027 Q1 not yet reported
Q3 2027	637.500	ASTRA calendar-quarter forecast; FY2027 Q1 not yet reported
Q4 2027	793.750	ASTRA calendar-quarter forecast; FY2027 Q1 not yet reported
Q1 2028	996.250	ASTRA calendar-quarter forecast; FY2027 Q1 not yet reported
Q2 2028	1,233.750	ASTRA calendar-quarter forecast; FY2027 Q1 not yet reported
Q3 2028	1,425.000	ASTRA calendar-quarter forecast; FY2027 Q1 not yet reported
Q4 2028	1,562.500	ASTRA calendar-quarter forecast; FY2027 Q1 not yet reported
Q1 2029	1,610.000	ASTRA calendar-quarter forecast; FY2027 Q1 not yet reported
Q2 2029	1,635.000	ASTRA calendar-quarter forecast; FY2027 Q1 not yet reported
Q3 2029	1,647.500	ASTRA calendar-quarter forecast; FY2027 Q1 not yet reported

Quarter	Expected average revenue-producing critical IT MW	Status
Q4 2029	1,660.000	ASTRA calendar-quarter forecast; FY2027 Q1 not yet reported
Q1 2030	1,672.500	ASTRA calendar-quarter forecast; FY2027 Q1 not yet reported
Q2 2030	1,672.500	ASTRA calendar-quarter forecast; FY2027 Q1 not yet reported
Q3 2030	1,672.500	ASTRA calendar-quarter forecast; FY2027 Q1 not yet reported
Q4 2030	1,672.500	ASTRA calendar-quarter forecast; FY2027 Q1 not yet reported

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	HPC rent, recoveries and fit-out	122.6	37.1%	45.5
Q3 2026	Legacy hosting	39.0	38.0%	14.8
Q3 2026	ChronoScale economic interest, 96%	17.7	18.0%	3.2
Q4 2026	HPC rent, recoveries and fit-out	253.8	33.1%	84.1
Q4 2026	Legacy hosting	37.6	38.0%	14.3
Q4 2026	ChronoScale economic interest, 96%	17.7	18.0%	3.2
Q1 2027	HPC rent, recoveries and fit-out	385.5	34.7%	133.9
Q1 2027	Legacy hosting	36.2	38.0%	13.8
Q1 2027	ChronoScale economic interest, 96%	17.7	18.0%	3.2
Q2 2027	HPC rent, recoveries and fit-out	472.2	38.5%	181.6
Q2 2027	Legacy hosting	34.8	38.0%	13.2
Q2 2027	ChronoScale economic interest, 96%	17.7	18.0%	3.2
Q3 2027	HPC rent, recoveries and fit-out	418.1	47.1%	196.9
Q3 2027	Legacy hosting	33.4	38.0%	12.7
Q3 2027	ChronoScale economic interest, 96%	17.7	18.0%	3.2
Q4 2027	HPC rent, recoveries and fit-out	523.0	44.3%	231.5
Q4 2027	Legacy hosting	32.0	38.0%	12.2
Q4 2027	ChronoScale economic interest, 96%	17.7	18.0%	3.2
Q1 2028	HPC rent, recoveries and fit-out	679.2	41.9%	284.8
Q1 2028	Legacy hosting	30.6	38.0%	11.6
Q1 2028	ChronoScale economic interest, 96%	17.7	18.0%	3.2
Q2 2028	HPC rent, recoveries and fit-out	779.0	43.2%	336.6
Q2 2028	Legacy hosting	29.2	38.0%	11.1
Q2 2028	ChronoScale economic interest, 96%	17.7	18.0%	3.2
Q3 2028	HPC rent, recoveries and fit-out	791.9	46.8%	370.3
Q3 2028	Legacy hosting	27.8	38.0%	10.6
Q3 2028	ChronoScale economic interest, 96%	17.7	18.0%	3.2
Q4 2028	HPC rent, recoveries and fit-out	734.9	51.7%	379.6
Q4 2028	Legacy hosting	26.4	38.0%	10.0
Q4 2028	ChronoScale economic interest, 96%	17.7	18.0%	3.2

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q1 2029	HPC rent, recoveries and fit-out	689.9	54.7%	377.5
Q1 2029	Legacy hosting	25.0	38.0%	9.5
Q1 2029	ChronoScale economic interest, 96%	17.7	18.0%	3.2
Q2 2029	HPC rent, recoveries and fit-out	689.9	54.7%	377.5
Q2 2029	Legacy hosting	23.6	38.0%	9.0
Q2 2029	ChronoScale economic interest, 96%	17.7	18.0%	3.2
Q3 2029	HPC rent, recoveries and fit-out	689.9	54.7%	377.5
Q3 2029	Legacy hosting	22.2	38.0%	8.4
Q3 2029	ChronoScale economic interest, 96%	17.7	18.0%	3.2
Q4 2029	HPC rent, recoveries and fit-out	689.9	54.7%	377.5
Q4 2029	Legacy hosting	20.8	38.0%	7.9
Q4 2029	ChronoScale economic interest, 96%	17.7	18.0%	3.2
Q1 2030	HPC rent, recoveries and fit-out	689.9	54.7%	377.5
Q1 2030	Legacy hosting	20.0	38.0%	7.6
Q1 2030	ChronoScale economic interest, 96%	17.7	18.0%	3.2
Q2 2030	HPC rent, recoveries and fit-out	689.9	54.7%	377.5
Q2 2030	Legacy hosting	20.0	38.0%	7.6
Q2 2030	ChronoScale economic interest, 96%	17.7	18.0%	3.2
Q3 2030	HPC rent, recoveries and fit-out	689.9	54.7%	377.5
Q3 2030	Legacy hosting	20.0	38.0%	7.6
Q3 2030	ChronoScale economic interest, 96%	17.7	18.0%	3.2
Q4 2030	HPC rent, recoveries and fit-out	689.9	54.7%	377.5
Q4 2030	Legacy hosting	20.0	38.0%	7.6
Q4 2030	ChronoScale economic interest, 96%	17.7	18.0%	3.2

Operating-cost derivation

Quarter	HPC field and startup	Corporate cash costs	Stock compensation	ChronoScale operating costs, economic 96%
Q3 2026	2.0	25.0	29.4	14.8
Q4 2026	2.2	25.7	31.4	14.8
Q1 2027	2.5	26.4	33.4	14.8
Q2 2027	2.8	27.1	35.4	14.8
Q3 2027	3.0	27.8	37.4	14.8
Q4 2027	3.2	28.5	39.4	14.8
Q1 2028	3.5	29.2	41.4	14.8
Q2 2028	3.8	29.9	43.4	14.8
Q3 2028	4.0	30.6	45.4	14.8
Q4 2028	4.2	31.3	42.9	14.8
Q1 2029	4.5	32.0	22.9	14.8
Q2 2029	4.8	32.7	24.0	14.8
Q3 2029	5.0	33.4	24.0	14.8
Q4 2029	5.2	34.1	24.0	14.8
Q1 2030	5.5	34.8	24.0	14.8
Q2 2030	5.8	35.5	24.0	14.8
Q3 2030	6.0	36.2	24.0	14.8
Q4 2030	6.2	36.9	24.0	14.8

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	APLD-1	25%	0.0	0.0	4.0	-1.0
Q3 2026	APLD-2	50%	0.0	0.0	0.0	0.0
Q3 2026	APLD-3	25%	0.0	0.0	0.0	0.0
Q4 2026	APLD-1	25%	0.0	-0.3	4.0	-1.1
Q4 2026	APLD-2	50%	0.0	0.0	0.0	0.0
Q4 2026	APLD-3	25%	0.0	0.0	0.0	0.0
Q1 2027	APLD-1	25%	-256.2	-61.4	4.0	-16.4
Q1 2027	APLD-2	50%	0.0	0.0	0.0	0.0
Q1 2027	APLD-3	25%	0.0	0.0	2.0	-0.5
Q2 2027	APLD-1	25%	-308.4	-101.9	4.0	-26.5
Q2 2027	APLD-2	50%	0.0	0.0	0.0	0.0
Q2 2027	APLD-3	25%	0.0	0.0	2.0	-0.5
Q3 2027	APLD-1	25%	-32.6	-65.4	4.0	-17.3
Q3 2027	APLD-2	50%	0.0	0.0	0.0	0.0
Q3 2027	APLD-3	25%	0.0	0.0	2.0	-0.5
Q4 2027	APLD-1	25%	-50.8	-54.3	4.0	-14.6
Q4 2027	APLD-2	50%	35.1	8.0	0.0	4.0
Q4 2027	APLD-3	25%	35.1	8.0	2.0	1.5
Q1 2028	APLD-1	25%	-261.0	-93.1	4.0	-24.3
Q1 2028	APLD-2	50%	83.0	23.0	0.0	11.5
Q1 2028	APLD-3	25%	83.0	23.0	2.0	5.2
Q2 2028	APLD-1	25%	-256.0	-111.9	4.0	-29.0
Q2 2028	APLD-2	50%	143.4	44.9	0.0	22.5
Q2 2028	APLD-3	25%	143.4	44.9	2.0	10.7
Q3 2028	APLD-1	25%	-112.8	-94.6	4.0	-24.6
Q3 2028	APLD-2	50%	146.2	57.8	0.0	28.9
Q3 2028	APLD-3	25%	146.2	57.8	2.0	14.0
Q4 2028	APLD-1	25%	44.1	-54.4	4.0	-14.6
Q4 2028	APLD-2	50%	171.5	71.8	0.0	35.9
Q4 2028	APLD-3	25%	241.2	86.9	2.0	21.2

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q1 2029	APLD-1	25%	102.0	-20.2	4.0	-6.1
Q1 2029	APLD-2	50%	126.5	69.7	0.0	34.9
Q1 2029	APLD-3	25%	220.9	97.9	2.0	24.0
Q2 2029	APLD-1	25%	45.0	-11.5	4.0	-3.9
Q2 2029	APLD-2	50%	126.5	69.7	0.0	34.9
Q2 2029	APLD-3	25%	245.7	111.0	2.0	27.3
Q3 2029	APLD-1	25%	0.0	-13.6	4.0	-4.4
Q3 2029	APLD-2	50%	126.5	69.7	0.0	34.9
Q3 2029	APLD-3	25%	270.4	124.1	2.0	30.5
Q4 2029	APLD-1	25%	0.0	-13.6	4.0	-4.4
Q4 2029	APLD-2	50%	126.5	69.7	0.0	34.9
Q4 2029	APLD-3	25%	295.1	137.2	2.0	33.8
Q1 2030	APLD-1	25%	0.0	-13.6	4.0	-4.4
Q1 2030	APLD-2	50%	126.5	69.7	0.0	34.9
Q1 2030	APLD-3	25%	319.8	150.3	2.0	37.1
Q2 2030	APLD-1	25%	0.0	-13.6	4.0	-4.4
Q2 2030	APLD-2	50%	126.5	69.7	0.0	34.9
Q2 2030	APLD-3	25%	274.9	148.2	2.0	36.6
Q3 2030	APLD-1	25%	0.0	-13.6	4.0	-4.4
Q3 2030	APLD-2	50%	126.5	69.7	0.0	34.9
Q3 2030	APLD-3	25%	274.9	148.2	2.0	36.6
Q4 2030	APLD-1	25%	0.0	-13.6	4.0	-4.4
Q4 2030	APLD-2	50%	126.5	69.7	0.0	34.9
Q4 2030	APLD-3	25%	274.9	148.2	2.0	36.6

Coherent operating and funding outcomes

These mutually exclusive states have separate capacity, earnings, funding and dilution paths. Common equity is valued within each state before applying its probability. The displayed expected operating profit is informative; it is not substituted into a nonlinear equity waterfall.

Q4 2027 state	Operating probability	Funding survival through window	F4Q OP	Matched shares	Common ceiling
Reference contracted portfolio	0%	Conditional funding	919.9	357.646	2.90
Delayed commissioning	25%	Conditional funding	550.1	372.455	0.00
Domestic expansion	50%	Conditional funding	1,053.7	365.477	2.81
Domestic plus Finland	25%	Conditional funding	1,045.7	365.661	1.69

Conditional funding and dilution paths

Operating probabilities are shown above. Financing survival or construction-recovery probabilities are applied separately within each outcome where stated. USD millions except shares in millions and probabilities.

Quarter	State	Project debt	Preferred principal	Project cash	Common shares
Q3 2026	Delayed commissioning	6,090.0	1,825.0	4,648.3	341.350
Q3 2026	Domestic expansion	6,090.0	1,825.0	4,027.9	341.350
Q3 2026	Domestic plus Finland	6,090.0	1,825.0	4,027.9	341.350
Q4 2026	Delayed commissioning	6,090.0	1,825.0	4,390.7	342.550
Q4 2026	Domestic expansion	6,090.0	1,825.0	1,761.8	342.550
Q4 2026	Domestic plus Finland	6,090.0	1,825.0	1,761.8	342.550
Q1 2027	Delayed commissioning	6,090.0	1,825.0	3,266.3	343.750
Q1 2027	Domestic expansion	6,090.0	1,825.0	697.9	343.750
Q1 2027	Domestic plus Finland	6,090.0	1,825.0	695.9	343.750
Q2 2027	Delayed commissioning	6,090.0	1,825.0	797.6	344.950
Q2 2027	Domestic expansion	7,229.0	1,912.5	150.0	344.950
Q2 2027	Domestic plus Finland	7,229.0	1,912.5	150.0	344.950
Q3 2027	Delayed commissioning	6,114.0	1,825.0	150.0	347.032
Q3 2027	Domestic expansion	9,319.5	2,463.8	150.0	346.408
Q3 2027	Domestic plus Finland	9,319.5	2,463.8	150.0	346.717
Q4 2027	Delayed commissioning	7,541.5	1,856.2	150.0	351.767
Q4 2027	Domestic expansion	11,669.0	3,082.5	150.0	355.285
Q4 2027	Domestic plus Finland	11,669.0	3,082.5	150.0	355.697
Q1 2028	Delayed commissioning	9,378.4	2,295.0	150.0	360.701
Q1 2028	Domestic expansion	13,292.0	3,510.0	160.0	358.336
Q1 2028	Domestic plus Finland	13,292.0	3,510.0	158.0	358.748
Q2 2028	Delayed commissioning	11,262.4	2,745.0	150.0	369.277
Q2 2028	Domestic expansion	14,150.0	3,735.0	321.1	361.708
Q2 2028	Domestic plus Finland	14,615.0	3,847.5	261.2	362.039
Q3 2028	Delayed commissioning	12,581.2	3,060.0	154.4	372.455
Q3 2028	Domestic expansion	14,150.0	3,735.0	627.9	365.477
Q3 2028	Domestic plus Finland	15,080.0	3,960.0	501.4	365.661
Q4 2028	Delayed commissioning	13,052.2	3,172.5	309.4	375.696
Q4 2028	Domestic expansion	14,150.0	3,735.0	965.7	369.496
Q4 2028	Domestic plus Finland	15,545.0	4,072.5	783.3	369.586

Quarter	State	Project debt	Preferred principal	Project cash	Common shares
Q1 2029	Delayed commissioning	13,052.2	3,172.5	560.5	379.319
Q1 2029	Domestic expansion	14,150.0	3,735.0	1,299.2	373.690
Q1 2029	Domestic plus Finland	16,010.0	4,185.0	1,069.1	373.720
Q2 2029	Delayed commissioning	13,052.2	3,172.5	824.2	383.053
Q2 2029	Domestic expansion	14,150.0	3,735.0	1,631.1	377.928
Q2 2029	Domestic plus Finland	16,475.0	4,297.5	1,361.8	377.934
Q3 2029	Delayed commissioning	13,052.2	3,172.5	1,082.9	386.822
Q3 2029	Domestic expansion	14,150.0	3,735.0	1,960.1	382.218
Q3 2029	Domestic plus Finland	16,940.0	4,410.0	1,660.0	382.235
Q4 2029	Delayed commissioning	13,052.2	3,172.5	1,341.4	390.644
Q4 2029	Domestic expansion	14,150.0	3,735.0	2,288.9	387.112
Q4 2029	Domestic plus Finland	16,940.0	4,410.0	2,022.3	387.054
Q1 2030	Delayed commissioning	13,052.2	3,172.5	1,599.6	394.507
Q1 2030	Domestic expansion	14,150.0	3,735.0	2,617.4	392.054
Q1 2030	Domestic plus Finland	16,940.0	4,410.0	2,401.2	392.352
Q2 2030	Delayed commissioning	13,052.2	3,172.5	1,859.1	398.400
Q2 2030	Domestic expansion	14,150.0	3,735.0	2,947.3	397.019
Q2 2030	Domestic plus Finland	16,940.0	4,410.0	2,779.4	397.646
Q3 2030	Delayed commissioning	13,052.2	3,172.5	2,121.5	402.321
Q3 2030	Domestic expansion	14,150.0	3,735.0	3,280.0	402.008
Q3 2030	Domestic plus Finland	16,940.0	4,410.0	3,160.5	402.965
Q4 2030	Delayed commissioning	13,052.2	3,172.5	2,383.6	406.271
Q4 2030	Domestic expansion	14,150.0	3,735.0	3,612.4	407.022
Q4 2030	Domestic plus Finland	16,940.0	4,410.0	3,541.3	408.308

Construction recovery and convertible treatment

Unfinished construction outside the operating earnings pool is a separate asset. Each recovery case is valued through the preferred and convertible claims before averaging; it is never added as unrestricted holding-company cash.

Q4 2027 state	Recovery	Case probability	Common shares	State ceiling
Reference contracted portfolio	100%	80%	357.646	3.07
Reference contracted portfolio	50%	20%	357.646	2.26
Delayed commissioning	100%	80%	372.455	0.00
Delayed commissioning	50%	20%	372.455	0.00
Domestic expansion	100%	80%	365.477	3.13
Domestic expansion	50%	20%	365.477	1.54
Domestic plus Finland	100%	80%	365.661	2.11
Domestic plus Finland	50%	20%	365.661	0.00

Claim decisions, overlap and triggers

APLD-1

p: 0.25

fact: Commissioning and equipment procurement remain execution risks despite 250 MW already delivered.

Conditional outcome: Delay still-undelivered contracted U.S. capacity by two quarters. Add 10% to the capital cost of capacity beyond the delivered 250 MW and $4M quarterly field costs.

overlap: One correlated construction state covers equipment, power and acceptance problems; the delivered 250 MW is retained.

cost bridge: Rent and depreciation follow delayed commissioning. Construction spending, interest and cumulative cash funding determine debt, preferred capital and new shares.

zero: Existing fixed rent receives no scarcity repricing.

APLD-2

p: 0.5

source date: 2026-07-27

fact: Management described advanced discussions for an existing-customer 100 MW expansion and a further 150 MW, at improved economics.

Conditional outcome: A bounded 250 MW domestic expansion ramps from Q4 2027 through 2028. Assumed gross straight-line rent is $1.76M per MW per year and construction cost is $11.7M per MW.

overlap: The Finland state also includes this expansion, so its total probability is 75%. This is one 250 MW pool; no additional broad pipeline is layered on.

cost bridge: Property cash cost is 9.5% of recognized rent, followed by asset depreciation and field expense. Cash receipts for uncontracted capacity are assumed at 88% of its straight-line rent during the initial ramp. Exact new lease terms remain unknown. The $1.76M rate is about 5.6% above the filed PF2 $1.667M proxy, and below PF1 $1.833M; it is not a blanket 13% portfolio repricing.

APLD-3

p: 0.25

source date: 2026-10-06

fact: The Finland agreement provides up to 1 GW of potential power, with initial power expected in 2028 and marketing underway.

Conditional outcome: Domestic expansion plus Finland: 50 MW in Q4 2028, rising to 300 MW in 2030. Assumed annual gross rent is $1.72M per MW and construction cost is $12.5M per MW.

overlap: Finland is outside the contracted 1,410 MW. The remaining 700 MW receives no forecast revenue or asset value.

cost bridge: Include $2M quarterly development expense from 2027, commissioning-linked rent, depreciation, cash funding and financial claims. No early rent is assumed before the power, tenant and construction sequence permits it.

APLD-CIP

p: 0.8

fact: Construction spending precedes rent. Charging funding claims against the earning assets while assigning no value to separate unfinished construction would mismatch asset and liability scope.

Conditional outcome: Within each operating state, an 80% recovery case retains 100% of recorded modeled unfinished construction cost; a 20% recovery case retains 50%. The 0-100% recovery endpoints are also reported.

overlap: The asset is only construction basis above the cost assigned to revenue-producing capacity at the end of the valuation window. It earns no separate forecast profit or depreciation while unfinished; no future rent or full pipeline valuation is added.

cost bridge: Apply the recovery inside the project waterfall, alongside the specific debt, preferred funding and cash already modeled. Value both recovery cases separately before weighting. The resulting expected asset reserve is 90% of cost but nonlinear common equity is not calculated merely from that average.

reasoning: The central recovery assumption reflects project-specific paid construction for a contracted or conditionally contracted portfolio, with a meaningful loss allowance for specialized work, incomplete construction and financing distress. This is an analyst assumption, not an appraised liquidation value.

APLD-WATERFALL

p: Conditional on each operating and CIP recovery state

fact: Four actual preferred tranches total $1,825M. Preferred dividends accrue daily at 12.75% with semiannual compounding, with a step-up on October 7, 2030. The 1.8x minimum includes common participation.

Conditional outcome: Let V equal 20x HPC operating profit less project principal plus excess project cash and the separate CIP recovery. Common project value is max(0, min(owner share x (V - accrued preference), V - 1.8 x preferred principal)).

overlap: Do not deduct the 1.8x minimum and then take another unconditional 15% participation haircut. Current 86.5% ownership is used until new preferred funding; 85% thereafter is an illustrative future-funding assumption. No separate CHRN market value or speculative investment gain is added.

cost bridge: Use end-window shares, cumulative equity funding and dated preferred cohorts. The $450M convertible is a debt claim below its conversion threshold, or 46.1M shares above it, never both. The exact early redemption and IPO routes differ from the modeled going-concern reserve.

APLD-SBC

p: 1.0

fact: Note 15 discloses $144M unrecognized RSU expense over 2.6 years, $135.1M PSU expense over 2.5 years, and $0.1M RSA expense over 0.8 years.

Conditional outcome: Approximate these finite pools with straight-line remaining recognition, allowing one month from May 31 to the calendar forecast start. This gives $27.387M in the first modeled quarter before new grants.

overlap: Exclude already-recognized FY2026 catch-ups and the fully vested $47.9M ChronoScale management grant from a new recurring expense. Existing unvested rights are included in shares once.

cost bridge: Future awards of 1.2M shares per quarter at an assumed $20 grant value vest over three years. Their expense builds by $2M per quarter to a $24M quarterly steady state; the full new rights enter the conservative dilution inventory when granted. Capitalization of employee cost is not separately assumed.

APLD-TAX

p: 0.5

fact: Note 12 reports $440.7M of losses available indefinitely, with full valuation allowances and potential ownership limits.

Conditional outcome: Conditional usable-loss pool of $440.7M, capped at 80% of positive quarterly pretax proxy; alternative no usable pool. A 25% normal cash-tax rate is assumed in both cases.

overlap: No credit for the larger aggregate federal/state loss headline, expiring losses, or new losses inferred from book projections.

cost bridge: Cash-tax reserve affects holding liquidity and subsequent equity funding; it does not reduce operating profit a second time.

APLD-JUNE-CASH

p: 1.0

fact: The May accounts predate one month of operations and the known June refinancings. Gross refinancing proceeds are not automatically net available cash.

Conditional outcome: Adopt a provisional $50M June operating-burn reserve, bounded $25-100M, plus $20M fees, bounded $0-40M. The modeled project receives $30M burn and $20M fees; holding receives $20M burn.

overlap: Future construction cash already rolls from May property/prepaids; these reserves do not add a second month of capital expenditure. June SAFE settlement and Series G proceeds are separate known flows.

cost bridge: Reduce opening project/holding cash before cumulative funding. Sensitivities rerun $0, $70M and $140M total reserves; the reserves are explicit analyst estimates, not filed cash flows.

reasoning: The operating reserve is anchored in a month of existing note coupons and holding/ChronoScale costs, partly offset by the first100MW rent. The fee reserve is about1.3% of the $1.59B June offering, a bounded transaction-cost proxy.

Remaining bounded uncertainties

- Publication cutoff: issuer press releases checked 2026-10-07 07:24 UTC / 03:24 Toronto. Latest release remained October 6 Finland; scheduled October 7 after-close fiscal Q1 2027 results were not yet published.

- Campus-level quarterly acceptance, cash rent and fit-out calendars are not fully disclosed. Gross straight-line annual rent uses filed rounded lease totals divided by 15 years and capacity. The fiscal-year cash schedule calibrates reference cash receipts, not GAAP revenue; delay states preserve the same cash-to-book factors. No second 2% annual escalation is added.

- PF1 lease-incentive amortization is approximated from $205.622M current plus noncurrent lease-incentive assets over 15 years and prorated by PF1 capacity. Actual asset vintages and campus accounting can differ. The modeled lease incentive is noncash and is added back through the cash-rent bridge.

- The opening cash bridge begins with May 31 balances and known June transactions, not a filed June 30 balance. Construction cash already includes the difference from May property/prepaids. An additional $50M June operating-burn reserve ($30M project/$20M holding) and $20M financing-fee reserve are included. Operating burn is bounded at $25-100M and fees at $0-40M, pending the next filing; total $0/$70/$140M reserve sensitivities are exposed. Restrictions by entity and subsequent transactions remain reconciliation gaps.

- Construction funding is a model: two-quarter pre-funding, stated per-MW cost, a May TopCo property/prepaid anchor and settlement of opening supplier accruals. Only the first 600 MW had been described as fully funded. Future debt availability, draw covenants, amortization/refinancing, and preferred commitments require further documents; a nominal authorization ceiling is not capital-market access.

- Project cash above a $150M reserve is credited only within the project preferred waterfall. The separate $200M holding reserve is unavailable for valuation. Restricted cash cannot fund unrelated holding operations; the source TopCo cash classification differs from the consolidated presentation.

- The modeled future common issue price is $20 with 3% fees, conditional on each operating state. All modeled operating cash shortfalls are cumulatively funded. Gross outstanding warrants are included without exercise proceeds or a capped-call offset, which is conservative; the remaining June Series G claim is retained at $73.154M instead of assuming additional conversion proceeds.

- Source accounts report both parent completion guarantees and recourse to parent credit. The project common-equity floor is a valuation convention, not a legal ring-fence. Funding failure, completion claims, or covenant-triggered preferred premiums could consume more holding value than this going-concern model.

- ChronoScale quarterly operating loss stays at the reported Q4 $12.118M without an unsupported turnaround. Its 18% internal gross-margin allocation only sets the offsetting modeled operating expenses. The 96% economic attribution is a simplifying ownership proxy, not reported consolidated accounting or a fully modeled management-incentive waterfall.

- The model reserves stated Series E/E1 and remaining Series G liquidation claims. It does not assume early Macquarie redemption, an IPO or the 2.0x liquid-securities minimum; those routes require separate legal cash-payoff calculations.

- Cash tax uses a 25% normal-rate proxy, with 50% probability that $440.7M of indefinite losses is usable against at most 80% of positive modeled pretax income, and 50% probability of no usable shelter. The source reports valuation allowances and potential ownership limitations. This bounded reserve is not a tax opinion; no additional book forecast losses are assumed to create usable tax assets. Debt amortization and refinancing still require an exact dated schedule.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] FY2026_release.html

https://ir.applieddigital.com/news-events/press-releases/detail/159/applied-digital-reports-fiscal-fourth-quarter-and-full-year

Archived source SHA-256: 1d165242bd171c0d7905d444cd3d203979b82060493261f673b8ce32a8c22937

[2] FY2026_10K.html

https://ir.applieddigital.com/sec-filings/all-sec-filings/content/0001144879-26-000048/apld-20260531.htm

Archived source SHA-256: d9db165af50a9eab28e9681d8cacfeb20ce7d027a7fb46da1ecbed654ca84e25

[3] Oct2_delivery.html

https://ir.applieddigital.com/news-events/press-releases/detail/161/applied-digital-brings-an-additional-75-mw-of-ai

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[4] presentations.html

https://ir.applieddigital.com/news-events/presentations

Archived source SHA-256: 161cfd8de64fbec21e2015add1c0d9dae8e77610cb38bed36d02510f123ed651

[5] news.html

https://ir.applieddigital.com/news-events/press-releases

Archived source SHA-256: d466e9ba0d0e41f9a784fa9c7c4fdca4f4a26b91764ac7c12f501a52ea530f74

[6] Oct6_Finland.html

https://ir.applieddigital.com/news-events/press-releases/detail/162/applied-digital-secures-up-to-1-gw-of-potential-power

Archived source SHA-256: 7f8e393843d1971d6954ce6b8fcc1dbcabc66b3742f45d8691d92226dbd37b15

[7] June2026 investor deck, savedoriginal

https://ir.applieddigital.com/_assets/_2ca3a6fc58e47f662a7c51ed55b80806/appliedblockchaininc/db/2905/27269/pdf/APLD_INV_June2026_Updated-compressed.pdf

[8] Q4FY2026 attributedmanagementcall reproduction

https://stockanalysis.com/stocks/apld/transcripts/645667-q4-2026/

[9] Q3FY2026 attributedmanagementcall reproduction

https://www.fool.com/earnings/call-transcripts/2026/04/09/applied-digital-apld-q3-2026-earnings-transcript/

[10] Dated closingprice October6

https://stockanalysis.com/stocks/apld/history/

[11] Issuer release-list publication check | 2026-10-07 07:24 UTC

https://ir.applieddigital.com/news-events/press-releases

The linked workbook and this artifact use the same saved operating model, financial claims and share schedule.